

Place the stop a few cents below a minor low (for long trades), preferably on an oddball number (20.93 instead of 21, for example). Novice traders may use a round number to trade, so position your stop below them. They will be stopped out, and you'll have a better chance of remaining in your trade.

Sometimes, though, this strategy will cause a larger loss because of stop running (especially for thinly traded issues). That is when a stop causes price to decline, which trips additional stops, forcing price even lower. To avoid this pitfall, place your stop above the others, as in 21.07 instead of 21. That position also narrows your loss (for long trades) but increases the likelihood of it being triggered. Since stop running seldom occurs, I place my stop below round numbers.

Trends. Since descending scallops work best after downward breakouts in a declining price trend, short the stock only in bear markets. If you own the stock, ask yourself if you want to suffer through the average 23% decline. It may be wise to sell the stock and look for a more promising situation instead of riding out a decline.

Experience

Let me tell you about what I found in my trade review.

Gleason Corp.

Gleason Corp. (GLE), appears in [Figure 59.5](#), but the candles look weird because I didn't have the opening price available back then.

After a short uptrend in the winter of 1998, a descending scallop completed at the start of the new year (E). Here's what I wrote in my notebook: "This feels good, but price will probably drop from where I bought today. Stop is 17.50, target is 23. Aroon is buy. MACD is buy, RSI is midrange heading up. Japan's economy is doing better, I think. Dollar is strong against yen, and that will help with 40% foreign sales. Machine tool orders will be weak, though, but expect upside earnings surprise in a few days."